



Balancing the Books

To keep track of your business finances, you need a proper system in place. **Balancing the books**—or **balancing the figures**—is a method of ensuring that all monies entering and leaving the business are accounted for.

Keeping a record

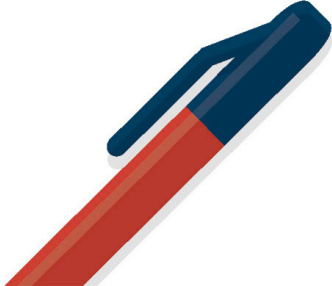
Balancing the books—bringing the totals of debits and credits into agreement—is the basis of business accounting. Businesses typically balance their figures at month end using double-entry bookkeeping (see below). This records every transaction as both a debit *and* a credit, making it easier to spot errors and helping to protect your business against fraud, whether from customers or clients, suppliers, or employees.

Managing your business accounts is vital, but if you are not confident, you could hire an accountant to do the work for you. Or learn how to do it yourself.

The traditional way to record business transactions is to write them down in a ledger book and calculate the figures manually (see below). Alternatively, you can also use spreadsheets and simple accounting software, which is widely available. This allows you to easily record, store, sort, and retrieve information about your transactions and to generate essential documents, such as sales invoices and financial reports. It can also highlight unbalanced transactions in your records as well as calculate totals. However, make sure the software you use is up-to-date so that it is in line with current tax rules and requirements.

How double-entry bookkeeping works

As the name implies, double-entry involves recording every transaction twice. A double-entry spreadsheet or ledger will have a debit column and credit column for each transaction, showing how one form of asset—cash—has been exchanged for another form of asset, such as stock for resale, a piece of equipment, or raw materials. Thus, all the cash you spend as part of the business over a set period is replaced by an asset or service you have bought. For example, if you buy \$200 worth of stock on credit, add this amount to the debit column as inventory and in the credit column as accounts payable. Repeat this for every purchase made, daily or weekly, throughout the accounting period.



	DEBIT	CREDIT
INVENTORY (ASSETS ACCOUNT)	\$200	
ACCOUNTS PAYABLE (LIABILITIES ACCOUNT)		\$200
TOTAL	\$200	\$200